

2025 Closure Summary

Note: 2025 reflects a temporary increase in closures as the Company made a strategic decision to right-size the system to ensure a healthy base of restaurants going forward. Closures were driven primarily by a deliberate set of one-time decisions to optimize the restaurant base. This includes several planned lease expirations, short-term test formats reaching their natural end (e.g., remote kitchen with predetermined two-year lease), and a small number of franchisee-initiated exits for personal or portfolio-specific reasons. These closures are not representative of the current development pipeline or ongoing unit economics, and the Company does not expect a similar level of closures on a go-forward basis given new site selection standards, improved franchisee vetting, and the elimination of non-core experimental formats.

Total Systemwide Closures (% of Total Systemwide Restaurants) ⁽¹⁾	2023A	2024A	2025A	2026E	2027P	2028P	2029P	2030P
	3%	3%	5%	1%	2%	2%	1%	1%

Store #	Location	Store Format	Commentary
Limited-Term Test Formats: Remote kitchen test location reached scheduled lease end and was not renewed			
3194	Richmond Remote Kitchen(VA)	Remote Kitchen	- Test kitchen two-year lease reached scheduled expiration and was not renewed following completion of pilot period
Territory Optimization: Select locations were intentionally not renewed to reopen territories and enable higher-quality development by new franchisees			
3191	Queens Center Mall, Queens(NY)	Fast Casual	- Further expands development opportunity for new / existing franchisees in New York
3107	First Hill(WA)	Dine-In	- Further expands development opportunity for new / existing franchisees in Washington
3083	New Haven(CT)	Dine-In	- Further expands development opportunity for new / existing franchisees in Connecticut
3038	Fredericksburg(VA)	Dine-In	- Further expands development opportunity for new / existing franchisees in Virginia
Company-Owned: Company-operated store closed at lease expiration as part of a refined corporate store strategy and real estate upgrade initiative			
1001	38st(NY)	Dine-In	- Company-operated store lease expired and landlord not willing to contribute TI to an old building that needed significant remodel capex
Legacy Site Selection / Underperforming Locations: A limited number of legacy locations closed due to isolated performance issues. Enhanced approval and underwriting processes by Corporate are now in place			
3201	Richardson, TX	Fast Casual	- Halal-approved menu created structural sourcing constraints that affected operations; closed following portfolio review
3154	Artesia(CA)	Fast Casual	- Franchisee relocated operations to a nearby more attractive location in an adjacent market
Franchisee-Specific Personal Events: Isolated closures driven by franchisee financial distress or partnership dissolution rather than store-level performance			
3224	Dallas SMU(TX) ⁽²⁾	Delco	- Texas Franchisee filed for bankruptcy due to personal financial issues
3199	Arlington Front St(TX) ⁽²⁾	Fast Casual	- Texas Franchisee filed for bankruptcy due to personal financial issues
3198	Arlington Cheney Dr, TX ⁽²⁾	Fast Casual	- Texas Franchisee filed for bankruptcy due to personal financial issues
3181	Tempe Myrtle Ave (ASU), AZ	Fast Casual	- Franchisee partners disbanded due to internal issues in their partnership
3138	Metreon Plaza(CA)	Dine-In	- Franchisee decided to exit the system to pursue other ventures
Extraordinary Site Events:			
3101	Santa Teresa(CA)	Dine-In	- Closed due to building fire

(1) Represents franchised locations.
(2) Stores 3224, 3199, and 3198 represent closures for the same franchisee.